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Tariffs, Stablecoins, and the Demand for Dollars*

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Abstract

Several studies have shown that aggregate demand for US dollars fell following the announcement of tariffs by the US government on April 2, 2025. Using data on stablecoins as a proxy for dollar trading, we find that the decline in dollar demand is smaller for investors in countries that saw larger increases in tariffs. Our interpretation is that, as foreign investors anticipate that tariffs will make it more expensive to acquire US dollars in the future, they buy dollars today. This channel is stronger for more liquid stablecoins and for countries with tighter capital controls, consistent with the idea that, when actual dollars are hard to acquire, stablecoins may be regarded as a substitute. Our findings cast light on the effects of the tariffs on global foreign exchange markets, as well as on the degree to which stablecoins are considered a close substitute for dollars.

Keywords: dollars, stablecoins, tariffs, trade barriers

JEL Classification Codes: F31, G15, G23

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1 Introduction

On April 2, 2025, the White House announced that a range of ‘reciprocal tariffs’ on imports from almost every country in the world would be imposed on April 9.¹ Studies have found that the tariffs reduced confidence in the dollar and US government debt as safe haven assets.² The drop in demand for dollars was unexpected since, in times of uncertainty, dollar-denominated assets usually benefit from a flight to safety. Moreover, the unilateral imposition of tariffs by the US would normally be expected to result in a strengthening of the US dollar (see, e.g., The Budget Lab 2025).

Our paper examines how the effect of the tariffs on investors’ demand for dollars varies with the tariff rate imposed on the investor’s country. Economic theory would suggest that investors in countries with larger increases in tariff rates should respond to the announcement by immediately raising their demand for dollars. To understand why this might be the case, consider the example of a British firm producing bowler hats in the UK and exporting them to the US. This firm’s earnings are denominated in US dollars but its costs are in British pounds. To pay these costs, the firm converts dollars into pounds in the global foreign exchange market.³ Now consider the possible effects of the tariff announcement on currency flows. Currency market participants anticipate that the US importer of the bowler hats will have to pay tariffs, meaning it will likely reduce its demand for the hats. This means less exchange of dollars for pounds in the future, and thus an increase in the value of the dollar relative to the pound. Anticipating this, demand for dollars relative to pounds rises today.⁴

Even if the US importer is able to pass on all the tariff costs to the British exporter, the

1. See Executive Order No. 14257 (2025). In the event, imposition of the tariffs was paused on April 9.

2. See, for example, Acharya and Laarits (2025), Hartley and Rebucci (2025), and Jiang et al. (2025). Shin, Wooldridge, and Xia (2025) show that increased hedging activity may have amplified the depreciation of the dollar.

3. As Cole (2025) explains, the firm may delegate the currency trade to another party, such as a bank or broker, but that does not affect our analysis.

4. To be precise, we would not expect to see an effect on dollar demand if the currency market is efficient and can price in new information immediately. But, assuming the existence of some friction, there should at least be a temporary effect on the demand for dollars relative to pounds.

effect on currency market flows is similar. After paying the tariffs, the hatmaker will have earned fewer dollars to exchange for pounds, meaning higher net demand of dollars against pounds in the future.⁵

The tariffs can be avoided by onshoring production to the US (e.g., Wosińska 2025). However, to build a factory and pay staff in the US, the British hatmaker needs to acquire dollars, which again means an increase in demand for dollars relative to pounds.

Even if the British exporter does not convert all the dollars earned into pounds, we would nonetheless expect the tariffs to push up demand for dollars. Suppose, for example, that the hatmaker wants to hold dollar-denominated financial assets as a safe haven investment (Jiang, Krishnamurthy, and Lustig 2021) or to make payments to firms in other countries. The hatmaker can acquire dollars by earning export revenues in excess of its costs. But, upon the tariff announcement, the hatmaker anticipates it will become harder to acquire dollars, either because its exports to the US will fall or because it will have to pay the tariff itself. To hedge against this risk, the firm buys dollars in advance of the tariff’s imposition.⁶

We posit that foreign investors seek to acquire dollars immediately after the announcement on April 2, in anticipation of the tariffs being imposed on April 9. Consistent with this hypothesis, we find that, following the April 2 announcement, demand for dollars is higher against currencies issued by countries that face a larger increase in their tariff rates.

Our findings are consistent with the existing narrative of a general fall in demand for dollars among all investors. While it may be true that demand for dollars falls *in aggregate*, our analysis suggests that the decline in dollar demand is lower — or even negative — among investors in countries that are hit with larger tariff hikes. Thus, our results add color to the

5. Cavallo et al. (2021) find that most of the incidence of the 2018 tariffs fell on US importers with relatively little pass-through to foreign exporters. For the 2025 tariffs, Cavallo, Llamas, and Vazquez (2025) and Minton and Somale (2025) find some evidence of pass-through to US importers or consumers, suggesting that again foreign exporters do not pay the full tariff.

6. Of course, the mechanisms described here describe only the direct effects of the tariffs on the dollar, without considering indirect effects or policy responses in each country. Nonetheless, general equilibrium models tend to agree that unilateral import tariffs in a floating rate regime lead to domestic currency appreciation; see, for example, Krugman (1982) and Monacelli (2025). But Bianchi and Coulibaly (2025) take a contrary view.

generally accepted narrative about the effect of the tariffs announcement on the demand for dollars.

Ideally, our proposed effect would be tested by studying trade and quote data in the forex spot markets. However, forex spot markets are generally over-the-counter, meaning that researchers would need to collect data directly from a range of dealers in order to obtain a comprehensive picture of the global market. Instead, we use stablecoin market data as a proxy for dollars.⁷ Trading of stablecoins for fiat currencies takes place on exchanges rather than over-the-counter, meaning that the quality of the data is generally better. To the extent that stablecoins are a close substitute for fiat currency, studying the stablecoin markets provides insight into currency markets. We demonstrate this by using limit order book data from a range of major exchanges to measure buying pressure for dollar stablecoins.⁸

Our results are predicated on the idea that stablecoins are considered to be a substitute for actual dollars. Since capital controls make it harder for people to buy foreign currencies but have less effect on stablecoins, we might expect our results to be stronger in countries with tighter capital controls. We show that is indeed the case. We also show that our results are stronger with stablecoins that have higher trading volumes and less price volatility, since such stablecoins are considered more liquid and thus closer substitutes for dollars. And we show that our results are stronger when stablecoins are traded on offshore exchanges, which are less regulated and so are an attractive way to move money into overseas dollars. Thus, our findings are consistent with increased dollar demand manifesting itself through the market for stablecoins.

7. Stablecoins are a form of cryptocurrency that maintain a one-for-one peg with a fiat currency, usually the US dollar. Some stablecoins are pegged against other currencies, but we only consider US dollar stablecoins in our analysis.

8. Data on prices and order flow are more readily available for other forex markets, such as the market for swaps (see, e.g., Syrstad and Viswanath-Natraj 2022). While spot prices can be deduced from forwards using an interest parity argument, it is harder to see how to infer order flow for spot trades. Using prices alone would constrain the analysis to currencies that float freely against the US dollar. In any case, Ranaldo, Viswanath-Natraj, and Wang (2024) find that prices and volumes of stablecoins are a reasonable proxy for their counterparts in the forex markets. Another advantage is that stablecoin markets are 24/7, whereas forex trading tends not to take place at weekends.

Our paper makes three important contributions. First, we describe an aspect of the tariff episode that has not been documented before now: a rise in dollar demand in response to the reciprocal tariffs, in line with what economic theory would predict. Second, we demonstrate that stablecoins are viewed as a near substitute for dollars in international currency markets, which contributes to a growing body of work showing that cryptocurrencies — and, specifically, stablecoins — are often used to circumvent capital controls.⁹ Third, we make a methodological contribution to empirical research in currency markets. When forex market data — especially for order flow — can be hard to come by, stablecoin market data may be a good substitute.

2 Data and methodology

2.1 Buying pressure

To assess whether changes to tariff rates affect the demand for dollars, we require a measure of buying pressure for dollar stablecoins. We use the *order imbalance*, which is the total amount of orders at the top of the order book initiated by buyers minus those initiated by sellers, normalized by the total value of those orders. When the order imbalance rises, this means there are relatively more trades initiated by buyers and fewer by sellers, indicating higher buying pressure.¹⁰

We construct the order imbalance using daily quote data from Coin Metrics. Our unit of observation is a *market*, defined as a currency-stablecoin-exchange triple. An example of a market is USDT (a stablecoin) traded for euros (a currency) at Coinbase (an exchange). For each market, Coin Metrics provides a daily snapshot of the top of the order book. We have the daily lowest ask and highest bid prices, as well as the sizes of the corresponding

9. See, for example, Alnasaa et al. (2022), Berwick and Foldy (2024), Cerutti, Chen, and Hengge (2024), Chen and Sarkar (2022), Foldy (2023), Graf von Luckner, Koepke, and Sgherri (2024), Hu, Lee, and Putniņš (2023), and Makarov and Schoar (2020).

10. The order imbalance measure was introduced by Chordia, Roll, and Subrahmanyam (2002).

lowest ask and highest bid orders. The Coin Metrics data do not tell us in which country a trader is actually located. Instead, we use currency as a proxy for location. For example, if we see a transaction of stablecoins for Colombian pesos, we infer that trader is located in Colombia (or at least exposed to the tariff imposed on Colombia).¹¹

Figure 1 shows the evolution of the order imbalance between January 1 and April 9, 2025. The yellow line shows the aggregate order imbalance for quotes of stablecoins against US dollars, while the blue line shows the aggregate order imbalance for quotes against all other currencies. The dotted vertical lines show major tariff-related events during this time period. The two processes in Figure 1 are both statistically stationary (that is, augmented Dickey Fuller tests reject non-stationarity). The USD order imbalance tends to be somewhat higher than the non-USD order imbalance, especially during February and March, but this pattern reverses in April when the USD order imbalance declines markedly. Figure 2 plots the difference between the two lines, showing clearly a divergence after April 2 between order imbalance for trades against the US dollar and those against other currencies.

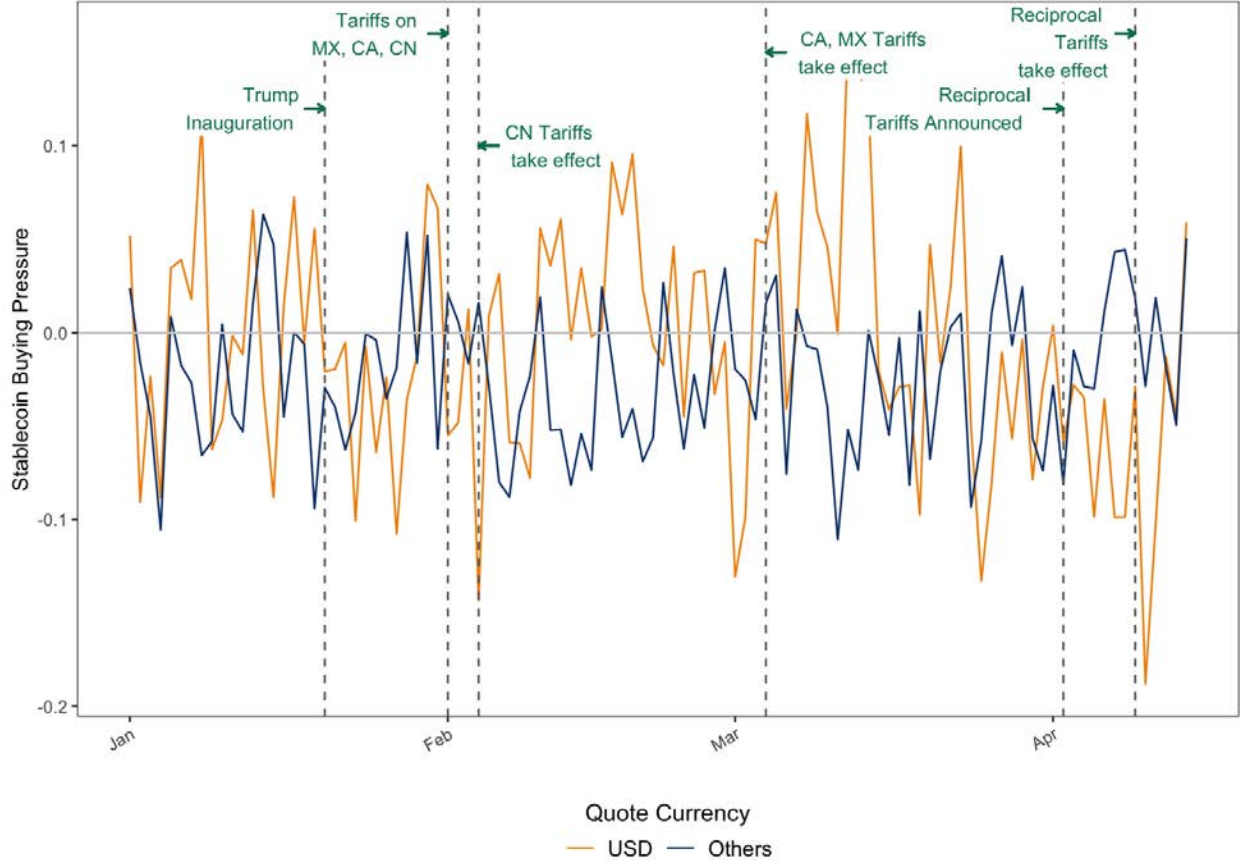
A Chow test on the series in Figure 2 finds strong evidence for a structural break on April 2 ($p = 0.021$). This is in line with our proposed tariff effect: we expect to see the USD order imbalance fall relative to the non-USD order imbalance. Moreover, a Chow test rejects the existence of a structural break in the time series any earlier than April 2. This suggests that the announcement on April 2 is associated with higher demand for dollar stablecoins outside of the US, but that earlier tariff announcements do not have a significant impact.

While the univariate analysis presented in this section is consistent with the tariffs announcement raising demand for dollars, it is not conclusive. The April 2 announcement heralded a brief period of instability in financial markets, so it is not obvious whether our results in this section are a direct result of the tariffs. For example, one indirect consequence

11. Our identification of currency with the location of the trader is likely to be reasonable for minor currencies, but may be less plausible for major global currencies. For example, it is likely there are many people outside of the US trading stablecoins for US dollars, so associating all those markets with the same tariff rate may be inaccurate. As a robustness test, we run our regression on the data set without US dollar markets and obtain the same findings. See Section 3.2.

Figure 1: **Order imbalance: Trades of stablecoins against USD and other currencies**

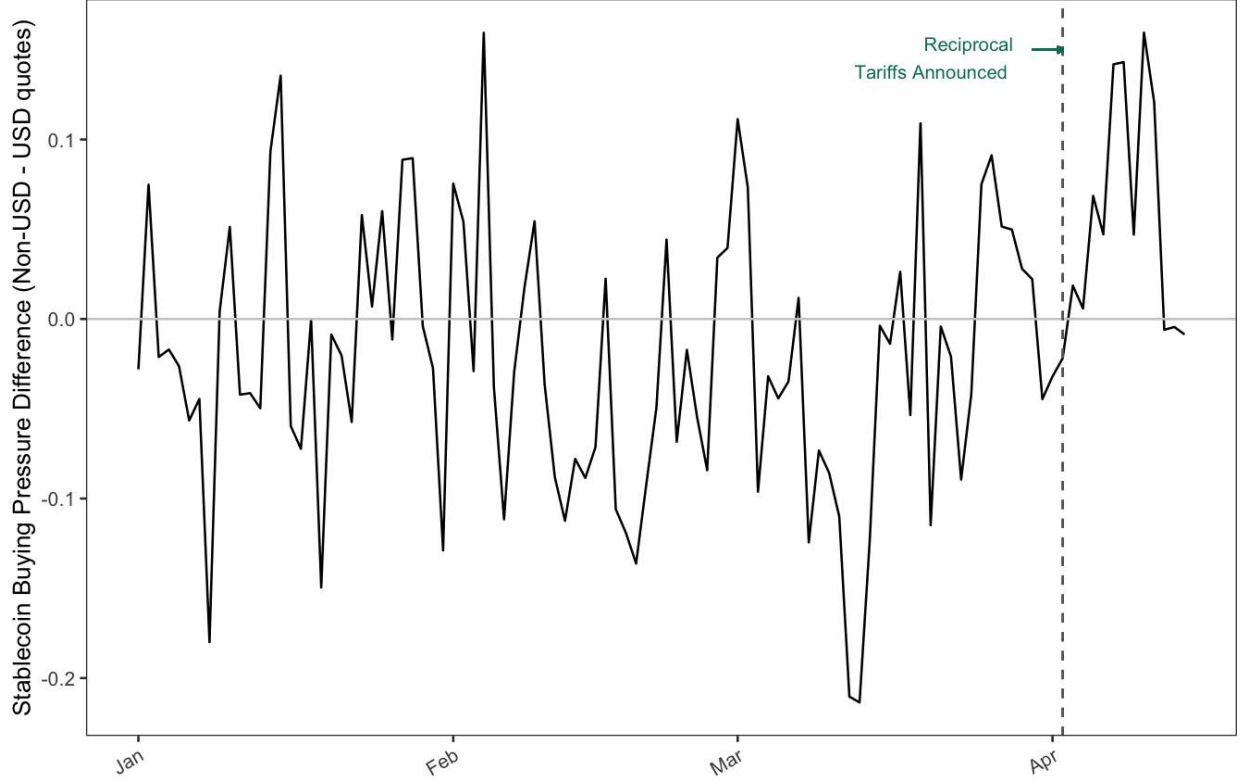
This figure plots aggregate order imbalance for markets involving trades of US dollar-pegged stablecoins against US dollars (yellow line) and other currencies (blue line). The horizontal axis runs from Jan 1 to Apr 9, 2025. Major tariff-related events are shown as dotted vertical lines.



of the announcement was a general decline in dollar demand due to investors' doubts about the continued role of the dollar as a reserve currency (e.g., Jiang et al. 2025). But we would expect such doubts to be independent of an investor's location, and in particular uncorrelated with the change in tariff rates that an investor's own country faces. Thus, in what follows, we exploit country-level heterogeneity to demonstrate a close association between changes in tariff rates and dollar demand. By doing so, we establish support for our proposed channel.

Figure 2: **Difference between order imbalance for trades of stablecoins against USD and those against other currencies**

This figure plots aggregate order imbalance for markets involving trades of US dollar-pegged stablecoins against non-US dollar currencies minus the order imbalance for trades involving US dollars: that is, the difference between the yellow and blue lines in Figure 1. The horizontal axis runs from Jan 1 to Apr 9, 2025. The dotted vertical line is at Apr 2, when the reciprocal tariffs were announced.



2.2 Tariff rates

We posit the following regression equation:

$$\text{Buying Pressure}_{ijkt} = \beta \times \Delta \text{Tariff}_i \times 1_{\{t \geq 0\}} + \text{Fixed effects} + \epsilon_{ijkt},$$

where i indexes countries, j stablecoins, k exchanges, and t dates. The independent variable of interest ΔTariff_i is the change in the tariff rate for country i announced on April 2. Essentially, we have an event study with cross-sectional variation (along dimension i) in the treatment dummy. We exploit this variation to compare how the demand for dollars varies

between countries after the event date. We run the specification with a variety of fixed effects to control for factors that may vary by country, stablecoin, exchange, or date.

The event date $t = 0$ is defined as the announcement date April 2, 2025. We choose an event window from $t = -7$ to $t = 7$ (i.e., March 26 to April 9), so that the study ends on the day the tariffs are paused. We characterize the April 2 announcement as a shock that the market expected to be permanent until after the end of the event window. This is justified because, while an announcement was anticipated on April 2, the scale and scope of the tariffs were a surprise (Moran and Garewal 2025). And, although the reciprocal tariffs were eventually paused on April 9, up until that date the White House insisted that the tariffs would take effect as planned (Doyle 2025).

We are interested in estimating the coefficient β . When β is significantly greater than zero, then we have evidence for our hypothesis: after April 2, traders in countries that see larger rises in tariff rates increase their demand for dollar-pegged stablecoins by more than those in countries with smaller tariff hikes.

For the independent variable ΔTariff_i we use the change in the *effective* tariff rate for country i as computed by Fritz (2025). The effective tariff rate is calculated as the White House’s announced tariff rate weighted by the mix of products that country i exports to the US, and so is a better measure of the economic impact of the tariffs than the announced rate. The effective tariff rates account for product-level exemptions from tariffs such as pharmaceuticals and semiconductors, and for higher tariffs imposed on other products like steel and cars.¹² For example, while the announced reciprocal rate for Switzerland is 31 percent, the effective rate is estimated to be only 17.7 percent.

Table 1 shows the fiat currencies used in our study, along with the reciprocal tariff rates announced in Executive Order No. 14257 (2025) and the effective tariff rates computed by

12. See Annex II of Executive Order No. 14257 (2025). Another benefit of using the effective rather than the announced tariff rate is that it provides more cross-sectional variation between countries. But a possible drawback is that some product-level tariffs — such as the higher rates on steel and cars — were already known before April 2. In any case, our conclusions do not change if we use the announced tariff rates rather than the effective rates.

Fritz (2025).¹³ The table also shows the number of different US dollar-pegged stablecoins against which that currency is traded during our sample period, the number of different exchanges on which those trades take place, and the total number of markets. In total, during our sample period there are 99 markets in which there is at least one active day of trading.¹⁴ The most liquid currency is USD, with about one-third of our markets consisting of orders of dollar-pegged stablecoins in exchange for US dollars. Just over half of our markets are traded against either USD or EUR.¹⁵

3 Results

Table 2 shows estimates of the coefficient β for models using a variety of different fixed effects. In all five models, we find that a larger increase in the tariff rate on a country is associated with significantly higher buying pressure of dollar-pegged stablecoins with respect to that country’s currency. Tariffs are given in percentages, so our results imply that a rise in the effective tariff rate by 1 percentage point reduces the buying pressure by between 0.00373 and 0.00606 units. The mean buying pressure over our sample period is -0.02 and the standard deviation is 0.33, so the economic impact is meaningful but not large. For example, going from the lowest (0) to highest (22.16) rise in effective tariff rate among countries in our sample would increase buying pressure by about one-third of a standard deviation.

Figure 3 shows day-by-day estimates of β . The estimated coefficients are significantly

13. For the Eurozone we use the average effective tariff among the countries and territories that use the euro, weighted by their export volumes to the US.

14. These 99 markets comprise 19 currencies, 12 stablecoins, and 14 exchanges. The stablecoins are those issued by Tether (USDT), Circle (USDC), TrueUSD (TUSD), PayPal (PYUSD), Ripple (RLUSD), GMO-Z (ZUSD), Gemini (GUSD), First Digital (FDUSD), Ethena (USDe), TRON (USDD), Paxos (USDG), and Sky (USDS). The exchanges are Binance, Binance.us, Bitfinex, Bitstamp, Bullish, Bybit, CEX.io, Coinbase, Crypto.com, Gate.io, Gemini, Kraken, KuCoin, and OKX. All of our exchanges are centralized. While much stablecoin trading takes place on decentralized exchanges, those exchanges are not relevant to our analysis as they do not handle direct trading against fiat currencies.

15. Purchases of stablecoins against US dollars are assigned a tariff rate of zero. And purchases of stablecoins against Mexican pesos and Canadian dollars are also assigned an effective tariff rate of zero because the April 2 announcement did not contain any increase in tariffs on Mexican or Canadian goods. While tariffs on Mexico and Canada had been announced before the start of our sample period, there is no news about tariffs on these countries during our 15-day event window.

Table 1: **Currencies used for our study**

Notes: Stablecoin data are from Coin Metrics. A market is a currency-stablecoin-exchange triple associated with that currency and traded during the sample period. For example, the euro is traded against 8 different stablecoins across 8 exchanges in our sample and in total there are 23 stablecoin-exchange pairs that are traded for euros. The table shows only the change in tariff rate on April 2, 2025 and does not include tariffs announced at other times. Announced tariffs are from Executive Order No. 14257 (2025). Effective tariffs are from Fritz (2025).

Issuing country	Currency code	Stablecoins (USD-pegged)	Exchanges	Markets	Change in tariff rate (%)	
					Announced	Effective
United States	USD	10	11	30	0	0
Eurozone	EUR	8	8	23	20	13.79
Turkey	TRY	4	4	8	10	11.59
United Kingdom	GBP	3	4	6	10	11.66
Singapore	SGD	3	2	3	10	4.75
Brazil	BRL	2	5	7	10	8.99
Australia	AUD	2	2	4	10	9.09
Poland	PLN	2	2	3	20	20.44
Canada	CAD	2	1	2	0	0
Czech Republic	CZK	2	1	2	20	20.31
Romania	RON	2	1	2	20	20.74
Switzerland	CHF	2	1	2	31	17.74
Argentina	ARS	1	1	1	10	6.51
Colombia	COP	1	1	1	10	5.33
Japan	JPY	1	1	1	24	22.16
Mexico	MXN	1	1	1	0	0
South Africa	ZAR	1	1	1	30	18.07
Ukraine	UAH	1	1	1	10	12.18
Utd Arab Emirates	AED	1	1	1	10	12.72

greater than zero almost every day following the announcement of tariffs. Moreover, the estimated coefficients grow in magnitude over the sample period, peaking on April 7 ($t = 5$). This suggests that there is a relative rise in demand throughout the event window for dollar-pegged stablecoins from countries with larger tariff increases, even while investors in general retreat from the US dollar.

3.1 Stablecoins as a proxy for dollars

Our empirical results demonstrate that the demand for dollar-pegged stablecoins increased in countries hit by larger tariff increases. To the extent that dollar-pegged stablecoins are

Table 2: **Impact of reciprocal tariffs on buying pressure for stablecoins**

The table reports the event-study estimates of how the April 2, 2025 White House announcement of new effective tariff rates ($t = 0$) affected daily order imbalances in US dollar-pegged stablecoin markets. Our sample spans seven trading days prior to the announcement (March 26 – April 1, 2025) and seven trading days after (April 3 – April 9, 2025). Standard errors are double-clustered by currency–day and exchange–day, and reported in parentheses. ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

Dependent Variable:	Buying Pressure				
Model:	(1)	(2)	(3)	(4)	(5)
Δ Effective Tariff	0.373** (0.168)	0.387** (0.179)	0.508*** (0.183)	0.578*** (0.191)	0.606*** (0.210)
Day FE	✓	✓	✓	✓	
Currency FE	✓	✓			
Exchange FE		✓			
Currency $\times$ Stablecoin FE			✓		
Currency $\times$ Stablecoin $\times$ Exchange FE				✓	✓
Stablecoin $\times$ Day FE					✓
Observations	1,410	1,410	1,410	1,410	1,410
R ²	0.043	0.065	0.119	0.220	0.295

seen as a close substitute for actual dollars, this finding is consistent with tariffs raising dollar demand. However, an alternative interpretation is that the tariffs induce a motive merely to hold stablecoins, rather than actual dollars.¹⁶ To address this concern, we run three tests to demonstrate that our results are stronger when stablecoins are regarded as a closer substitute for dollars.

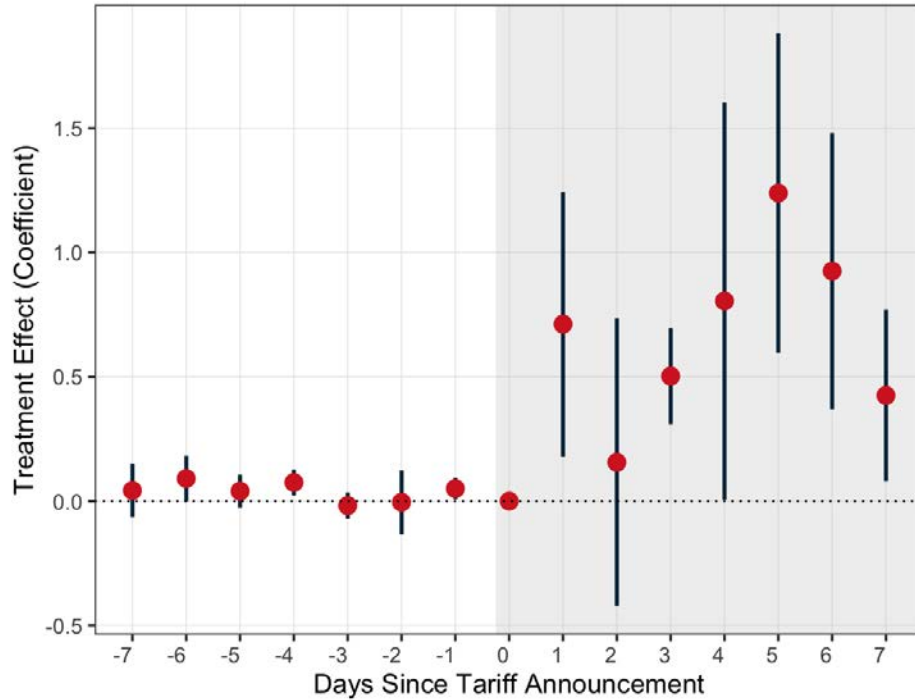
First, we interact the change in tariff rate with a measure of country-level capital controls, described in Fernández et al. (2016). The capital controls data are for 2019, the most recent available at the time of writing.¹⁷ Table 3 shows that our effect is stronger in countries with tighter capital controls. The interpretation is that, when capital controls prevent an investor from easily acquiring dollars, stablecoins can be considered a close substitute. In countries with low levels of capital controls (e.g., Japan or the UK), it is relatively easy for

16. For example, stablecoins can be used in decentralized finance (DeFi) markets to acquire crypto assets (Gorton, Ross, and Ross 2025), so our results could indicate that, for some reason, people subject to large tariff increases decide to increase their exposure to DeFi.

17. The data are available on Martin Uribe’s website at <https://www.columbia.edu/~mu2166/fkrsu/>. We use series *ka*, which aggregates various measures of capital control into a single indicator, and series *kai* and *kao*, which measure controls on inflows and outflows respectively.

Figure 3: Impact of reciprocal tariffs on stablecoin buying pressure: Dynamic estimates

The table reports the dynamic time-series estimates of how the April 2, 2025 White House announcement of new effective tariff rates ($t = 0$) affected daily order imbalances in US dollar-pegged stablecoin markets. Our sample spans seven trading days prior to the announcement (March 26 – April 1, 2025) and seven trading days after (April 3 – April 9, 2025). Standard errors are double-clustered by currency–day and exchange–day, and reported in parentheses. Vertical bars are 95% confidence intervals.



investors to acquire dollars, so they have less need to purchase stablecoins. But, for countries with higher levels of capital controls (e.g., Ukraine or Turkey), it is harder to obtain dollars and so stablecoins are used as a substitute. This is consistent with other evidence that cryptocurrencies — and stablecoins in particular — are used to circumvent capital controls (e.g., Graf von Luckner, Koepke, and Sgherri 2024). According to Table 3, when a country has a fully open capital account, the imposition of tariffs has an insignificant effect on dollar demand.

Table 3 shows that the significance is higher when we look at capital controls on outflows — that is, restrictions on purchases of securities abroad by residents or of domestic sales by non-residents — rather than those on inflows. This is consistent with our proposed channel:

controls on outflows make it harder for people in the country to acquire dollars in the global foreign exchange market.

Table 3: Impact of reciprocal tariffs on stablecoin demand: Role of capital controls

The table reports the event-study estimates of how the April 2, 2025 White House announcement of new effective tariff rates ($t = 0$) affected daily order imbalances in US dollar-pegged stablecoin markets. Our sample spans seven trading days prior to the announcement (March 26 – April 1, 2025) and seven trading days after (April 3 – April 9, 2025). Standard errors are double-clustered by currency-day and exchange-day, and reported in parentheses. ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively. The capital controls data are for 2019 and are described in Fernández et al. (2016) and at <https://www.columbia.edu/~mu2166/fkrsu/>. This measures capital restrictions on a score from 0 to 1, where zero denotes a country with a fully open capital account.

Dependent Variable:	Buying Pressure		
Model:	(1)	(2)	(3)
Δ Effective Tariff	0.298 (0.453)	0.341 (0.377)	0.303 (0.505)
Δ Effective Tariff $\times$ Capital controls	0.965*** (0.192)		
Δ Effective Tariff $\times$ Capital controls on inflows		1.08** (0.433)	
Δ Effective Tariff $\times$ Capital controls on outflows			0.768*** (0.113)
Currency $\times$ Stablecoin $\times$ Exchange FE	✓	✓	✓
Stablecoin $\times$ Day FE	✓	✓	✓
Observations	1,410	1,410	1,410
R ²	0.241	0.239	0.296

For our second test, we interact the change in tariff rate with measures of liquidity in the stablecoin market (Table 4). The idea here is that, if investors are seeking to use stablecoins as a proxy for dollars, they would tend to buy the largest and most liquid stablecoins. That is indeed what we see: our estimated coefficient is larger for stablecoins that have higher transaction volume or lower price volatility in the preceding 24 hours.¹⁸ For coins with sufficiently low liquidity (i.e., low transaction volumes and high price volatility), the tariff announcement has no significant impact on order imbalance.

Our third test interacts the change in tariff rate with a dummy for exchanges located

18. Stablecoins aim to maintain parity with a dollar peg. Therefore, price volatility may be associated with a concern that a stablecoin may lose its peg in the near future.

Table 4: **Impact of reciprocal tariffs on stablecoin demand: Liquidity measures**

The table reports the event-study estimates of how the April 2, 2025 White House announcement of new effective tariff rates ($t = 0$) affected daily order imbalances in US dollar-pegged stablecoin markets. Our sample spans seven trading days prior to the announcement (March 26 – April 1, 2025) and seven trading days after (April 3 – April 9, 2025). Standard errors are double-clustered by currency–day and exchange–day, and reported in parentheses. ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively. $(\text{Stablecoin Txn Volume})_{-24h}$ refers to the total volume of transactions involving the specified stablecoin across all exchanges in the past 24 hours. $\text{Stablecoin Volatility}_{-24h}$ is the 24-hour rolling realized volatility, measured as the standard deviation of the natural log of returns calculated every 10 minutes over the past 24 hours.

Dependent Variable:	Buying Pressure	
Model:	(1)	(2)
Δ Effective Tariff	-2.66* (1.50)	1.27*** (0.406)
Δ Effective Tariff $\times$ Log(Stablecoin Txn Volume) $_{-24h}$	0.146** (0.061)	
Δ Effective Tariff $\times$ Stablecoin Volatility $_{-24h}$		-20.1*** (4.87)
Country $\times$ Stablecoin $\times$ Exchange FE	✓	✓
Stablecoin $\times$ Day FE	✓	✓
Observations	1,326	1,326
R ²	0.267	0.269

offshore (that is, in international tax havens like the Seychelles or Cayman Islands). Such exchanges are relatively lightly regulated, making it easier for investors to convert their stablecoin holdings into actual dollars at a future date. They may also help investors avoid taxes and capital controls. Table 5 shows that the effect of tariffs on stablecoin demand is stronger among these exchanges, consistent with the idea that investors aim to hold stablecoins that are more easily convertible into actual dollars.¹⁹

3.2 Robustness tests

We carry out three robustness tests. The first robustness test checks whether our results hold even when we exclude quotes for stablecoins against fiat US dollars from our sample.

19. These regressions include stablecoin fixed effects, allowing us to rule out that the findings are driven by the most liquid stablecoins being primarily traded in offshore exchanges.

Table 5: **Impact of reciprocal tariffs on buying pressure for stablecoins: Heterogeneity by exchange location**

The table reports the event-study estimates of how the April 2, 2025 White House announcement of new effective tariff rates ($t = 0$) affected daily order imbalances in US dollar-pegged stablecoin markets. Our sample spans seven trading days prior to the announcement (March 26 – April 1, 2025) and seven trading days after (April 3 – April 9, 2025). Standard errors are double-clustered by currency–day and exchange–day, and reported in parentheses. ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

Dependent Variable:	Buying Pressure	
Model:	(1)	(2)
Δ Effective Tariff	0.448** (0.208)	0.494** (0.221)
Δ Effective Tariff $\times$ Offshore exchange	0.951** (0.418)	1.19** (0.484)
Day FE	✓	
Currency x Stablecoin x Exchange FE	✓	✓
Stablecoin x Day FE		✓
Observations	1,410	1,410
R ²	0.223	0.300

There are two reasons to check this. First, when a trader purchases a dollar stablecoin using US dollars, they are flat on their net dollar exposure. Thus, it’s not clear that such a trade indicates a motive to hold more dollars. Second, one potential criticism of our approach is that we identify the location of a trader with the currency they use. This may not be a reasonable assumption for a global currency like the US dollar. In other words, we should be concerned that some of the trading of stablecoins against US dollars is actually done by traders outside of the US. When we drop the US dollar quotes, the results still hold (see Table A1 in the Appendix). The estimated coefficients are actually larger than before, although they are less statistically significant, perhaps due to the smaller sample size.

Our second robustness test checks whether our results are specific to dollar-pegged stablecoins. We would not expect investors in countries hit hardest by US tariffs to respond by buying non-dollar stablecoins, such as those pegged to the euro. Table A2 in the Appendix runs our regression model on non-dollar stablecoins. While the estimated coefficients are positive in sign, they are not statistically significant for any of the models tested. This find-

ing is consistent with a dollar demand channel: people acquire only dollar-pegged stablecoins — not those pegged to other currencies — because they seek a close substitute for dollars in response to the reciprocal tariffs.

The third robustness test runs our baseline specification on forex market data.²⁰ We do not have data on order flows in spot forex markets, so we cannot use the order imbalance as a proxy for dollar demand. Instead, we estimate the effect of tariff changes on dollar liquidity. For the dependent variable, we use the normalized bid-ask spread of the relevant currency against the US dollar (i.e., bid minus ask, divided by the midpoint of the bid and ask). The idea is that, if order flow is initially balanced, then an increase in dollar demand increases results in a market that is less liquid and thus has wider bid-ask spreads. Table A3 in the Appendix shows that this is indeed the case: an increase in the tariff rate is associated with wider bid-ask spreads for quotes in the relevant currency against the US dollar.

We also run tests to check whether there are changes in stablecoin supply that could explain our results. We reject any relationship between tariff rates and stablecoin supply, for both dollar and non-dollar stablecoins. Our results are available upon request.

4 Conclusion

We show that demand for dollar-pegged stablecoins increases in countries hit hardest by the tariff announcements on April 2. The effect is stronger for countries with tighter capital controls, for stablecoins that are more liquid, and for exchanges that are located offshore, consistent with a theory of dollar demand and with stablecoins being used as a substitute for dollars.

Our analysis sheds light on this turbulent episode in global markets. While the existing literature documents a general flight away from US assets following the tariff announcements

20. Our data are from Polygon.io. For comparison with the earlier results, we restrict attention to those currencies listed in Table 1.

we show that — in line with the predictions of economic theory — investors in countries with larger tariff increases demand higher dollar exposure, relative to their peers in countries with smaller increases. By documenting this heterogeneity in responses, our study contributes to the understanding of how future changes in tariff rates affect the global financial system, of which stablecoins are expected to become an increasingly important part (Aldasoro et al. [2025](#)).

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A Additional tables

Table A1: **Impact of reciprocal tariffs on buying pressure for stablecoins: USD quotes removed**

The table reports the event-study estimates of how the April 2, 2025 White House announcement of new effective tariff rates ($t = 0$) affected daily order imbalances in US dollar-pegged stablecoin markets. Our sample spans seven trading days prior to the announcement (March 26 – April 1, 2025) and seven trading days after (April 3 – April 9, 2025). Standard errors are double-clustered by currency–day and exchange–day, and reported in parentheses. ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

Dependent Variable:	Buying Pressure				
Model:	(1)	(2)	(3)	(4)	(5)
Δ Effective Tariff	0.640* (0.372)	0.635* (0.377)	0.763** (0.383)	0.827** (0.392)	0.848** (0.411)
Day FE	✓	✓	✓	✓	
Currency FE	✓	✓			
Exchange FE		✓			
Currency $\times$ Stablecoin FE			✓		
Currency $\times$ Stablecoin $\times$ Exchange FE				✓	✓
Stablecoin $\times$ Day FE					✓
Observations	989	989	989	989	989
R ²	0.058	0.074	0.129	0.215	0.282

Table A2: Impact of reciprocal tariffs on buying pressure for non USD-pegged stablecoins

The table reports the event-study estimates of how the April 2, 2025 White House announcement of new effective tariff rates ($t = 0$) affected daily order imbalances in non US dollar-pegged stablecoin markets. Our sample spans seven trading days prior to the announcement (March 26 – April 1, 2025) and seven trading days after (April 3 – April 9, 2025). Standard errors are double-clustered by currency–day and exchange–day, and reported in parentheses. ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

Dependent Variable:	Buying Pressure				
Model:	(1)	(2)	(3)	(4)	(5)
Δ Effective Tariff	0.206 (0.302)	0.167 (0.324)	0.171 (0.323)	0.171 (0.326)	0.316 (0.476)
Day FE	✓	✓	✓	✓	
Currency FE	✓	✓			
Exchange FE		✓			
Currency $\times$ Stablecoin FE			✓		
Currency $\times$ Stablecoin $\times$ Exchange FE				✓	✓
Stablecoin $\times$ Day FE					✓
Observations	557	557	557	557	557
R ²	0.041	0.109	0.171	0.283	0.537

Table A3: Impact of reciprocal tariffs on bid-ask spreads in US-denominated forex markets

Table below reports the event-study estimates of how the April 2, 2025 White House announcement of new effective tariff rates ($t = 0$) affected daily bid-ask spreads in US-denominated forex markets. We normalized each country's bid-ask by the midpoint (i.e., the average of bid and ask). Our sample spans seven trading days prior to the announcement (March 26 – April 1, 2025) and seven trading days after (April 3 – April 9, 2025). Standard errors are clustered by day and currency and reported in parentheses. ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

Dependent Variable:	Bid-Ask Spread		
Model:	(1)	(2)	(3)
Δ Effective Tariff	0.00203 (0.00263)	0.00111 (0.00165)	0.00137*** (0.00000)
Day FE	✓		✓
Currency FE		✓	✓
Observations	256	256	256
R ²	0.025	0.886	0.911